

**The University of Hong Kong
Faculty of Business and Economics**

**PMGM7015A/MSMK7027A/ECON6090 International Business Environment
Module 4, 2025-2026**

Instructor: Dr. Chang SUN
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Office: 1226 K.K.Leung
Office Hour: Thu 2:00 – 3:00 pm

Lecture Dates: Jan 29; Feb 2, 5, 9, 12, 23, 26; Mar 2, 5, 9
Lecture Time: Thu/Mon 9:30 am – 12:30 pm
Venue: **Cyberport EFG** (except **Mar 5** in **B2, Admiralty** Town Center)

Teaching Assistant: Mr. Joseph Huang
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I. Course Information

Course Description

This course helps you to understand the macroeconomic environments of international businesses. The course examines recent issues and trends in globalization through the lens of economic theories in international trade, political economy and macroeconomics. In particular, we will explore the origins of the recent rise of protectionism and populism in the US and Europe, the macroeconomic consequences of financial globalization and crises, and the challenges and opportunities of international migration. Combining economic analyses and real-world case studies, we further examine the implications of these issues on the aggregate economy as well as on individual companies. The course will equip you with skills to independently analyze new issues and policies related to international economics. It also provides you background knowledge for formulating better corporate strategies.

Course Objectives

1. To understand the basic facts and trends about globalization
2. To understand the driving forces of international trade and exchange rate movements
3. To understand the impact of globalization on the aggregate economy as well as individual firms
4. To acquire skills to analyze new economic policies related to international businesses

Textbook and Course Materials

- Lecture notes, case articles, and supplementary readings will be posted on the course's website before lectures
- Recommended textbook:
 - Paul Krugman, Maurice Obstfeld, and Marc Melitz. *International Economics: Theory and Policy*. 10th Edition. Global Edition. Pearson, 2015

II. Course Assessment

A1: Case Quizzes	10%
A2: Class participation	13%
A3: Assignments	15%
A4: Group Presentation	29%
A5: Policy Memo	<u>33%</u>
	100%

A1. Case Quizzes (10%)

We discuss eight cases throughout the course. Before each discussion, there will be a small quiz consisting of three single-choice, factual questions about the case. I will take the **best three** out of the eight quizzes and it makes up 10% of the final grade.

Note: you are required to attend at least 70% of the classes. Otherwise, you will be treated as failing the course.

A2. Class Participation (13%)

You are expected to ask questions and participate in the classes actively. You will have many opportunities to speak up during case discussions. Your participation grade will be based on the quality and frequency of your contribution to the discussion. I will take note whenever you make a contribution to the discussions. This accounts for 13% of the grade.

A3. Assignments (15%)

There will be one assignment for this class. The purpose is to help you better understand the important concepts and their applications. You can discuss the assignments with classmates but must submit individual write-ups. The assignment and due date will be announced later.

A4. Group Presentation of the Case (29%)

You are asked to form groups of six to seven (this number may change according to the class size) to work together on the cases that we will discuss in class. You need to pick a case and do a group presentation.

The presentation takes 15 min. I will provide some questions to guide your analysis. For two groups that are presenting the same case, you will receive slightly different questions. You are encouraged to research additional materials not covered by the case to strengthen your arguments. Other students will ask questions during and after your presentations.

The presentation will be evaluated from four dimensions at a scale of 1-5 (1 is the worst and 5 is the best):

1. confidence of the speakers
2. quality and clarity of the information presented
3. the level of organization
4. supporting arguments/evidence for your opinions

These scores are then aggregated (with equal weights) and scaled to 29% of the final grade. The

group will receive common scores expect for component #1. Therefore, make sure you work in teams and organize the entire presentation in a holistic way.

A5. Individual Essay Assignment: A Policy Memo (33%)

You need to submit an individual essay at the end of the course. You are asked to perform analysis on a recent *policy* issue in international economics. You need to imagine working for the head of state of a country of your choice and write the essay in a “policy memo” format. This policymaker requests to be briefed on a recent issue/policy in international economics (e.g., Export Restrictions on Medical Supply during the Pandemic). She/he wants to (1) understand what is going on (2) understand the causes of the issue or the rationale of the policy (3) understand its potential impact on aggregate economic outcomes or industry outcomes, as well as the implications for businesses (4) know how the government or local businesses should react.

The memo should not be longer than 10 pages (double space, font size = 12). A separate guide for the policy memo, including potential topics, format of the essay, grading criteria and deadlines will be posted on Moodle.

III. Tentative Course Schedule

Lecture	Lecture Topic	Topics and cases discussed
1	Globalization: Overview	
2	Political Economy of Trade Policies	Trade Theories Winners and Losers from Trade Political Economy of Trade Politics
3	Trade and Industrial Policies in Practice	Instruments of Trade Policies WTO and Regional Trade Agreements Industrial Policies
4	Trade Wars and Geopolitics	<i>Case: international lobbying</i> The US-China Trade War Trade Sanctions Geopolitics
5	International Capital Movement I	<i>Case: rare earth industry</i> National Income Accounting, Balance of Payments,
6	International Capital Movement II	<i>Case: solar power industry</i> Current Account Imbalances Basics of Exchange Rates
7	Exchange Rate Movements	<i>Case: Australia</i> Determinants of exchange rates the role of monetary and fiscal policies
8	Exchange Rate Regimes	Exchange rate regimes Balance of payment crisis
9	International Labor Migration I	<i>Case: Argentina 2002 crisis</i> <i>Case: Latvia</i> International Labor Migration
10	International Labor Migration II	<i>Case: firm responses to financial crises</i> <i>Case: German migration policies</i>

We discuss eight cases in class:

Lecture 4: Daemmrigh, A.A., 2011. International Lobbying and the Dow Chemical Company (No. 9-710-027), Harvard Business School Cases.

Lecture 5: Datla, A., Lawrence, R., 2013. Shaping the Future of Solar Power: Climate Change, Industrial Policy and Free Trade (No. HKS757), Harvard Kennedy School Cases.

Lecture 6: Tao, Z., Sun, C., and Hui, M. 2021. "Rare Earths: A Battle for Dominance." Asia Case Research Center, the University of Hong Kong.

Lecture 7: Alfaro, L., Kim, R., 2013. Australia: The Riches and Challenges of Commodities (No. 9-709-007), Harvard Business School Cases.

Lecture 9: Di Tella, Rafael, and Fernanda Miguel. 2015. "Breaking Bad (the Rules): Argentina Defaults, Inflates (and Grows), 1997–2015." Harvard Business School (9-714-036).

Lecture 9: Rafael Di Tella, Rawi Abdelal and Natalie Kindred. 2017. "Latvia: Navigating the Strait of Messina." Harvard Business School (9-711-053).

Lecture 10: Enright, Michael J., and Vincent Mak. 2003. "Financial Crises and Firm Performance." Asia Case Research Center, the University of Hong Kong (HKU299).

Lecture 10: Gaikwad, Nikhar, and Kenneth Scheve. 2016. "Willkommen to Europe: The Political Economy of Migration Policy in Germany." Stanford Graduate School of Business (P-85).

IV. Additional Course Information

I will send announcements about course schedules, assignments and readings via Moodle emails. Please check your mail box regularly for updates. Lecture notes will be posted on Moodle before each lecture. Cases will be distributed online at the beginning of the semester.

Please note that the syllabus and schedule may be subject to change.

Course Learning Outcomes (CLOs)

On completion of this course, students should be able to:

1. Develop skills in analyzing economic, cultural, and legal/political differences between countries (CLO1)
2. Apply international business theories to address issues related to country selection and entry strategies etc. (CLO2)
3. Build managerial leadership and competency in managing international entry and operation strategies (CLO3)
4. Develop skills in case analysis, presentation, communication, and teamwork (CLO4)

Alignment of Program and Course Outcomes

PMGM Program Learning Outcome	Course Learning Outcomes
1. Acquisition and internationalization of knowledge of the programme discipline	CLO1, CLO2, CLO3
2. Application and integration of knowledge	CLO2, CLO3, CLO4
3. Inculcating professionalism and leadership	CLO3
4. Developing a global outlook	CLO1, CLO2, CLO3
5. Mastering communication skills	CLO4

Time Allocation of Teaching and Learning Activities

Various activities will be employed, including lectures and videos, class discussion, in-class exercises, group project, and assignment and exams. The focus of all activities will be on the understanding of the concepts and application of the main framework.

Teaching and Learning Activities	Expected contact hour	Study Load (% of study)
T&L1. Lecture with interactive exercises	36 hours	30%
T&L2. Group-based study and analysis	36 hours	30%
T&L3. Self-study	48 hours	40%
Total	120 hours	100%

Learning Outcomes, Teaching and Learning Activities, and Assessment

Course Learning Outcomes	Activities	Assessment
(CLO1) Develop skills in analyzing economic, cultural, and legal/political differences between countries	T&L1, 2, 3	A1, 2, 3, 4
(CLO2) Apply international business theories to address issues related to country selection and entry strategies	T&L1, 2, 3	A1, 2, 3, 4
(CLO3) Build managerial leadership and competency in managing international entry and operation strategies	T&L1, 2, 3	A1, 2, 3
(CLO4) Develop skills in case analysis, presentation, communication, and teamwork	T&L1, 2	A1, 2, 3

Standards of Assessment

Class participation, assignments, project reports and exams are graded using the following criteria:

Grade	Description
A+, A, A-	Strong evidence of superb ability to fulfill the intended learning outcomes of the course at all levels of learning: describe, apply, evaluate and synthesise
B+, B, B-	Strong evidence of ability to fulfill the intended learning outcomes of the course at all levels of learning: describe, apply, evaluate and synthesise.
C+, C, C-	Evidence of adequate ability to fulfill the intended learning outcomes of the course at low levels of learning; such as describe and apply, but not at high levels of learning such as evaluate and synthesise
D+, D	Evidence of basic familiarity with the subject

F	Little evidence of basic familiarity with the subject
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Course Policies

The University Regulations on academic dishonesty will be strictly enforced. Please check the University's statement on plagiarism at <http://www.hku.hk/plagiarism/>.

Students are required to attend classes on time. Arriving late or leaving early or walking in/out during class without permission will affect your class participation grade. Students are required to put your mobile phone on silent during the class.